

Financial Analysis of JPMorgan Chase

Comprehensive investment research and valuation analysis

GROUP 11

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Company Overview

JPMorgan Chase & Co. operates as a globally diversified financial institution delivering comprehensive banking and investment services with a focus on innovation and long-term growth.

History & Evolution

- Founded in 1799 with 200+ years of history
- Became largest U.S. bank through major mergers

Strategic Direction

- Focus on global expansion and innovation
- Strong investment in digital banking
- Diversified financial services model

Major Milestones

- Acquired First Republic Bank (2023)
- Apple Card integration (2026)
- \$80B community investment initiative

Industry & Competition

Industry Overview

- Operates in global banking & financial services industry
- Industry driven by interest rates, inflation, and economic growth
- Rising competition from fintech and private credit firms

Major Competitors

- Bank of America
- Citigroup
- Goldman Sachs
- Wells Fargo

Competitive Advantages

- \$1.5T+ liquidity and assets strength
- High investment in technology (~\$19.8B)
- Leading market share in U.S. banking

Market Position

- 1 bank in U.S. by total assets (~\$4.4T)
- Operates in 100+ global markets
- High institutional investor confidence



Financial Ratio

Ratio Name	Formula	Calculation Result
Operating Profit Margin	(Operating Income / Total Revenue)	39.90%
Net Profit Margin	(Net Income / Total Revenue)	31.20%
Return on Assets (ROA)	(Net Income / Total Assets)	1.29%
Return on Equity (ROE)	(Net Income / Shareholders' Equity)	15.70%
Earnings per Share (EPS)	(Net Income / Shares Outstanding)	\$20.02
Current Ratio	(Current Assets / Current Liabilities)	0.49
Quick Ratio	(Cash + Marketable / Current Liabilities)	0.49
Cash Ratio	(Cash / Current Liabilities)	0.49
Price-to-Earnings (P/E)	(Market Price / EPS)	14.17
Dividend Payout Ratio	(Dividends / EPS)	27.70%
Debt-to-Equity Ratio	(Total Debt / Total Equity)	1.4
Sustainable Growth Rate	ROE * (1 - Payout Ratio)	11.35%

Cost of Capital Analysis

Beta & Market Risk

Beta of 1.09 indicates slightly higher volatility than the market.

This reflects moderate risk, meaning the stock tends to move slightly more than the overall market.

Suitable for investors seeking growth with manageable risk.

Cost of Equity (CAPM)

- 14.32% required return based on:
- Risk-free rate (4.38%)
- Market return (13.50%)
- Beta (1.09)
- Indicates investors expect higher returns due to higher risk exposure.

Cost of Debt

Pre-tax: 4.73% | After-tax: 3.74%

WACC

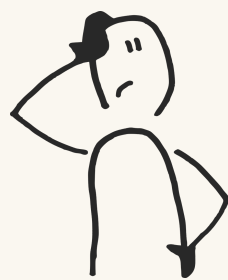
12.71% weighted average cost of capital

- Equity weight: ~61%
- Debt weight: ~39%

Free Cash Flow

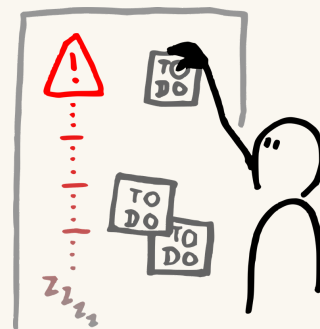
FCF Calculation

$$\begin{aligned}\text{FCF} &= \text{Operating Cash Flow} - \text{Capital Expenditure} \\ &= 45.2\text{B} - 15.0\text{B} = \mathbf{\$30.2\text{B}}\end{aligned}$$



Key Insight

- Strong positive FCF indicates:
- High cash generation
- Efficient operations
- Strong liquidity position



Sustainability

- Stable and consistent cash flows
- Supports long-term growth
- Backed by diversified business model



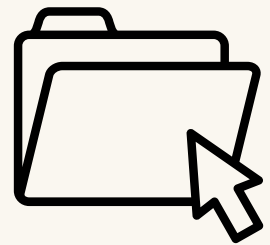
Investor Implications

- Supports dividends & share buybacks
- Enables reinvestment in technology
- Reduces financial risk

WACC

FCF Calculation

11.0% Weighted Average Cost of Capital



Key Insight

- Strong profitability (ROE: 15.7%)
- High Free Cash Flow (\$30.2B)
- Market underpricing due to macro uncertainty



Intrinsic Value

- Estimated Value = \$338.60 per share



Market Comparison

- Current Market Price: \$283.77
- Intrinsic Value: \$338.60
- Undervalued by ~19%

Stock Trend Analysis

Last one-year stock price analysis



Trend Overview

Strong upward trend over 1 year
Price increased from ~\$210 to ~\$330 (peak)

Volatility

Moderate fluctuations throughout the period
Reflects normal market and economic changes

Recent Movement

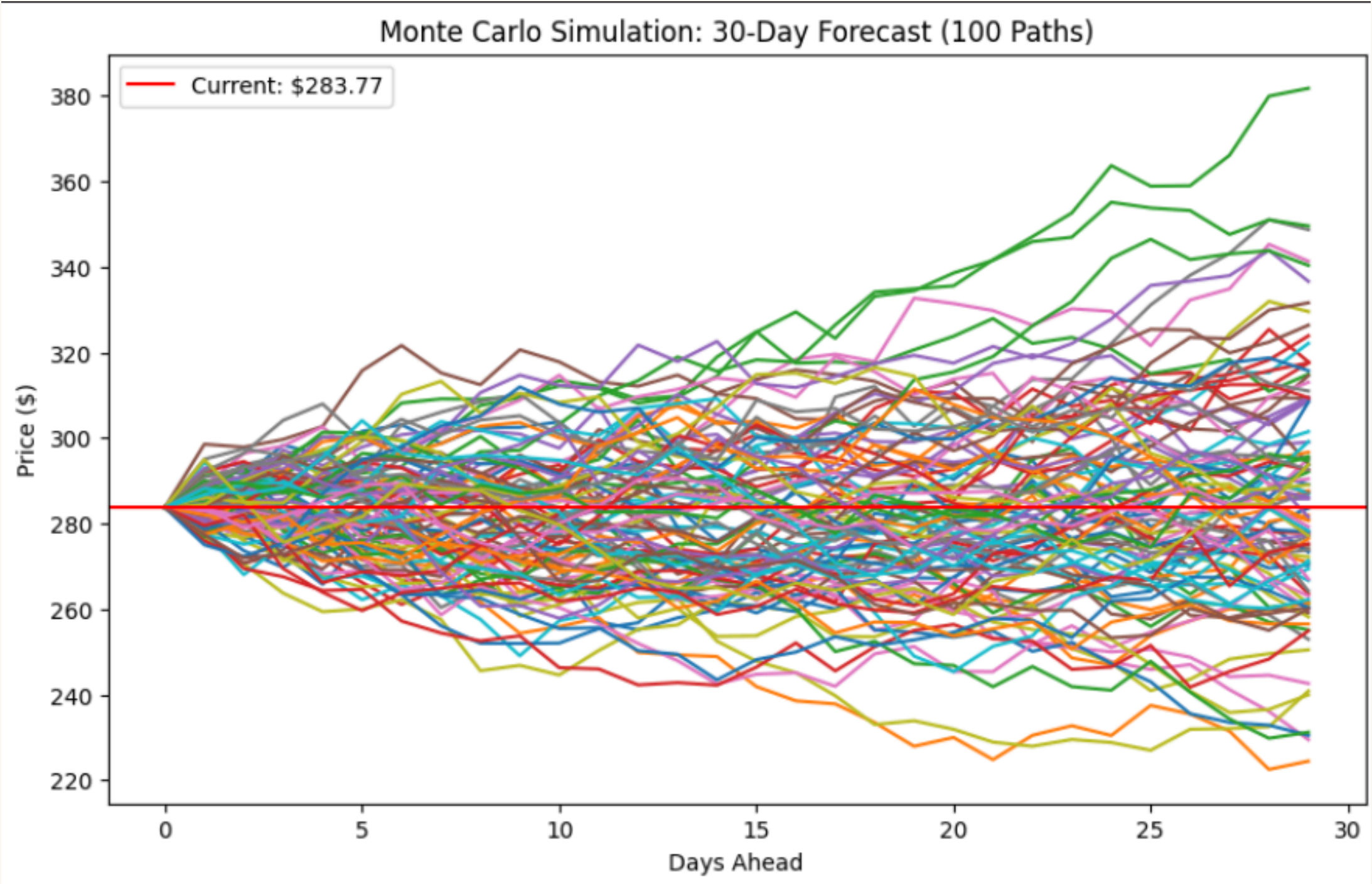
Slight decline after peak
Stabilized around \$280–\$300

Key Insight

Positive long-term growth
Strong investor confidence

Stock Trend Analysis

Monte Carlo Simulation



Current Price

- \$283.77

Forecast Results

- Mean Price: \$291.45
- Forecast Range: \$232 – \$351

Risk & Volatility

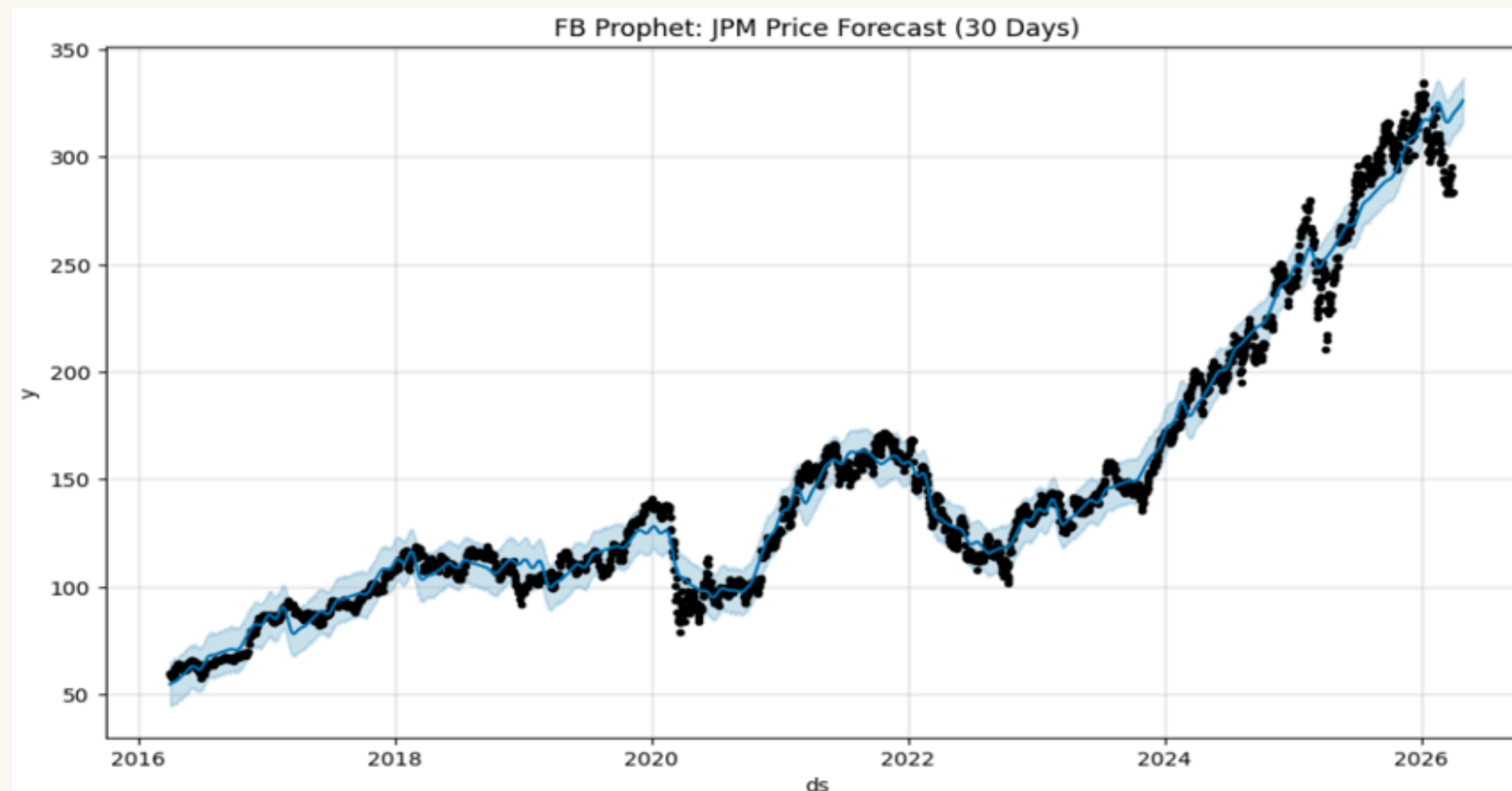
- Wide range → market uncertainty
- Multiple paths show possible outcomes
- Moderate short-term volatility

Key Insight

- Expected price slightly higher than current
- Indicates potential short-term growth

Stock Trend Analysis

FB Prophet Forecast



Trend Forecast

- Model shows consistent upward trend
- Indicates continued price growth

Confidence Interval

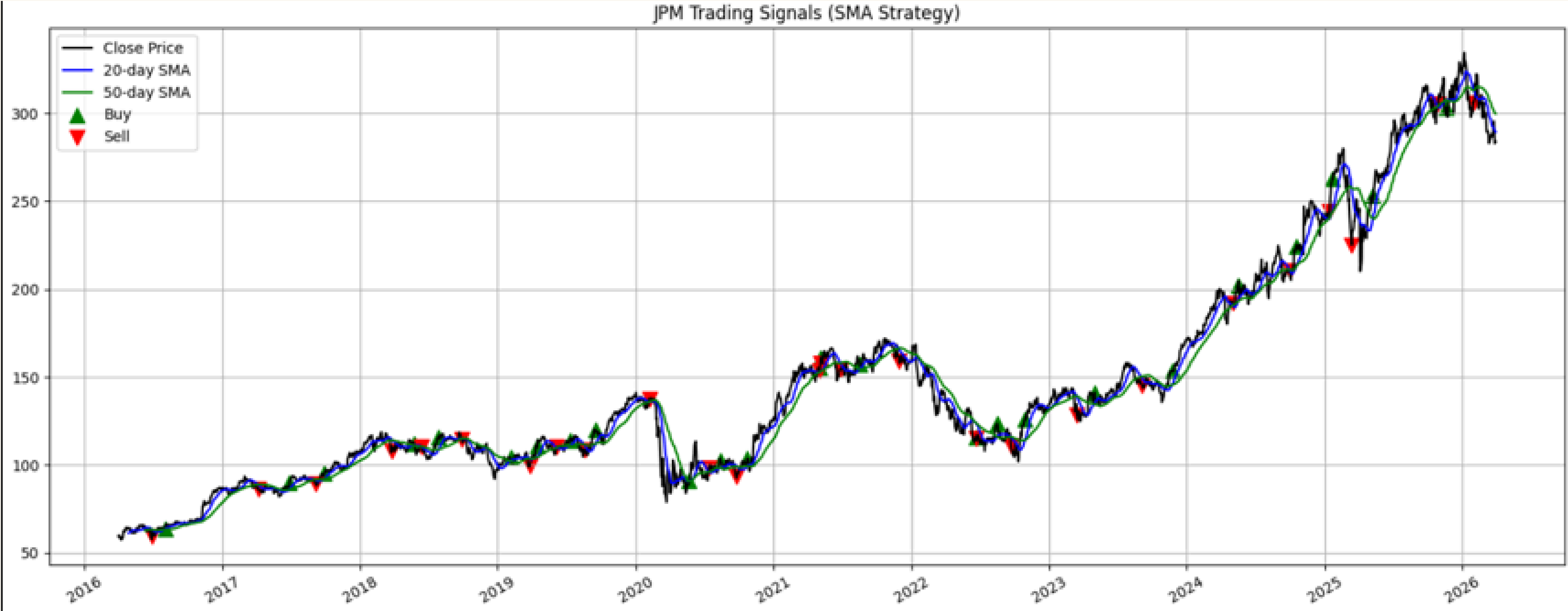
- Narrow range → low volatility
- High reliability of prediction

Key Insight

- Strong long-term momentum
- Stable and predictable growth

Stock Trend Analysis

Trade Signal Based on 20 and 50 SMA



Final Recommendation

Investment Outlook

- Strong global presence (100+ markets)
- Leader in digital banking & innovation
- Diversified financial services

Financial Strength

- Net Profit Margin: 31.2%
- ROE: 15.7%
- Free Cash Flow: \$30.2B

Valuation

Intrinsic Value: \$338.60

Market Price: \$283.77

Undervalued (~19%)

Growth Potential

- Sustainable Growth Rate: 11.35%
- Strong revenue base: \$182.4B
- Continuous investment in technology

Risk & Return

- Beta: 1.23 → moderate risk
- Expected Return (CAPM): 15.60%

Final Decision= BUY



Thank You

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